

The parent company did not receive in dividends the full amount earned by its subsidiaries, but even with this smaller income the prior-deductions method results in a much larger indicated coverage for the parent-company bond interest on the basis of its own results than on a consolidated basis.

Dividends on Preferred Stocks of Subsidiaries. In a holding-company system the preferred stocks of the important operating subsidiaries are in effect senior to the parent company's bonds, since interest on the latter is met chiefly out of dividends paid on the subsidiaries' common stocks. For this reason subsidiary preferred dividends are always included in the fixed charges of a public-utility holding-company system. In other words, these fixed charges consist of the following items, in order of seniority:

1. Subsidiaries' bond interest.
2. Subsidiaries' preferred dividends.
3. Parent company's bond interest.

This statement assumes that all the subsidiary companies are of substantially the same relative importance to the system. An individual subsidiary which happens to be unprofitable may discontinue preferred dividends and even bond interest, while at the same time the earnings of the other subsidiaries may permit the parent company to continue its own interest and dividend payments. In such a case, which is somewhat exceptional, the unprofitable subsidiary's charges are not really senior to the parent company's securities. This point is discussed at the end of Chap. 17.

The fixed charges should also properly include any annual rentals paid for leased property which are equivalent to bond interest or guaranteed dividends. In the majority of holding-company reports this practice is followed (*e.g.*, Public Service Corporation of New Jersey).

The holder of preferred shares of an important operating subsidiary has to all intents and purposes a claim which is as fixed and enforceable on the system's earnings as have the owners of the parent company's bonds. But if the parent company becomes insolvent, then the owners of the underlying preferred issues no longer occupy the strategic position of bondholder, since they cannot compel the operating subsidiary to continue paying its preferred dividends.

Example: New York Water Service Corporation Preferred may be cited as an example. The company is an operating subsidiary of Federal Water Service Corporation, which in turn was a subsidiary of Tri-Utilities